

CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS	31-Dec-2016 Shs'000	31-Dec-2015 Shs'000
Gross earned premium and fund management fees	21,221,078	20,324,212
Less: Reinsurance premium ceded	(2,898,259)	(3,231,953)
Net earned revenue	18,322,819	17,092,259
Investment income	5,223,975	4,340,074
Realised and unrealised losses on financial assets	(2,412,009)	(2,626,267)
Commissions earned	718,839	735,788
Other income	506,590	589,133
Total income	22,360,214	20,130,987
Expenses		
Net insurance claims, increase in policyholder's benefits and loss adjustment expenses	5,001,165	10,614,215
Interest payments/ increase in unit value	1,742,978	495,774
Operating and other expenses	7,094,697	6,716,741
Finance costs	1,177,264	802,155
Commissions expense	3,547,258	3,291,904
Total expenses	18,563,362	21,920,789
Profit/ (loss) before share of the profit of associate	3,796,852	(1,789,802)
share of profit of associate	442,281	594,864
Profit/ (loss) before tax	4,239,133	(1,194,938)
Income tax (expense)/ credit	(1,758,929)	185,480
Profit/ (loss) for the year	2,480,204	(1,009,458)
Basic and diluted earnings / (loss) per share (Shs per share)	1.26	(0.5)
CONDENSED CONSOLIDATED STATEMENT OF OTHER COMPREHENSIVE INCOME	31-Dec-2016 Shs'000	31-Dec-2015 Shs'000
Profit/ (loss) for the year	2,480,204	(1,009,458)
Loss on revaluation of financial assets at fair value through other comprehensive income	(1,121,998)	(1,471,299)
Loss on disposal of financial assets at fair value through other comprehensive income	(268,287)	(281,044)
Currency translation losses	(236,886)	(423,523)
Others	(68,360)	1,625
Total other comprehensive income	(1,695,531)	(2,174,241)
Total comprehensive income/ (loss) for the year	784,673	(3,183,699)
CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION	31-Dec-2016 Shs'000	31-Dec-2015 Shs'000
Share capital	193,841	193,841
Share premium	4,263,412	4,263,412
Other reserves	11,874,244	10,424,977
Retained earnings	897,351	2,221,480
Proposed dividend	581,525	581,525
Shareholder's funds	17,810,373	17,685,235
Non-controlling interest	67,223	(10,787)
Total equity	17,877,596	17,674,448
Assets		
Fixed and intangible assets	3,680,942	3,501,261
Investment assets	63,916,237	59,150,847
Insurance assets	7,007,477	7,154,763
Cash and cash equivalents	5,967,017	4,767,253
Other assets	3,070,936	3,058,228
Total assets	83,642,609	77,632,352
Liabilities		
Insurance liabilities	50,411,564	48,304,405
Borrowings	9,379,826	6,968,161
Other liabilities	5,973,623	4,685,338
Total liabilities	65,765,013	59,957,904
Net assets	17,877,596	17,674,448
CONDENSED CONSOLIDATED STATEMENT OF CASHFLOWS	31-Dec-2016 Shs'000	31-Dec-2015 Shs'000
Operating activities		
Cash generated from operations	5,229,955	5,393,968
Income tax paid	(212,568)	(467,465)
Net cash generated from operating activities	5,017,387	4,926,503
Net cash used in investing activities	(4,470,511)	(6,026,583)
Net cash from/ (used) in financing activities	652,888	(973,854)
Net increase/ (decrease) in cash and cash equivalents	1,199,764	(2,073,934)
Movement in cash and cash equivalents		
At the start of the year	4,767,253	6,841,187
Increase/ (decrease)	1,199,764	(2,073,934)
At end of the year	5,967,017	4,767,253

Commentary on 2016 Results

The Group has reported a profit before tax of Shs 4.2 billion compared to a loss before tax of Shs 1.2 billion in 2015 and a total comprehensive income of Shs 784.7 million compared to the total comprehensive loss of Shs 3.2 Billion in 2015. The main contributor to other comprehensive income in both 2015 and 2016 are losses resulting from disposal and revaluation of strategic investments in equities.

The Group's asset base increased by 8% to Shs 83.6 billion from Shs 77.6 billion in 2015.

Our life business registered sustained growth in 2016, with gross earned premiums increasing by 19% to Shs 8.8 billion compared to Shs 7.4 billion in 2015. Ordinary life premium increased by 20% while pension contribution increased by 94% driven by sales from our existing network of over 3,800 Financial Advisors.

Non life business gross earned premiums declined by 6% from Shs 12.2 billion in 2015 to Shs 11.5 billion in 2016. The decrease was a result of the Group adopting a more stringent credit policy to mitigate the risk of non payment of premiums and the adoption of claims handling expenses reserves not previously included. As a result of these initiatives, the profit arising from this business segment increased to Shs 1.0 billion from a loss of Shs 94.2 million in 2015.

Net insurance benefits declined by 53%. To ensure compliance with requirements of the Insurance Act as amended by the Finance Act 2015 and as required by the Insurance Regulatory Authority (IRA), the Group adopted the Gross Premium Valuation (GPV) methodology which is a change from the previously applied Net Premium Valuation (NPV). This change resulted in a reduction in the net insurance benefits and claims by Shs 5.2 billion. On a consistent basis, net insurance benefits and claims dropped by 3% as a result of better claims management and improved underwriting quality.

Fund management fees from our Asset Management business increased by 29% to Shs 929.2 million compared to Shs 718.5 million in 2015. The increase is attributable to the growth in Assets Under Management (AUM) by 20% to Shs 108.9 billion from Shs 90.5 billion in 2015. The revenue growth was distributed across all fund management products.

Update on strategy

The year marked an end to the Group's 2012-2016 strategic plan. Key successes of the strategic period include:-

- Regional footprint encompassing seven countries compared to two countries at the start of the strategic period;
- Increased product diversification beyond life and general insurance with strong growth in asset management, property and micro-insurance businesses;
- Successful separation of life and general insurance businesses enabling more focused management of each of these very diverse and distinct businesses;
- Achieved operational efficiency through centralizing information technology operations (Project Jawabu), resulting in cost and revenue synergies; and
- Increased automation of the online distribution channel by rolling out the Financial Advisors portal and transitioning our marine insurance product to the online market place.

On 1 December 2016, we launched a new strategic plan, 2016-2020 dubbed "Go for Gold". The new strategic plan delivers a platform for our organization's next phase of growth, talent development, access sources of funding, continuous innovation and brand building. The pillars of the strategic plan are: profitable growth, customer service, innovation, operational excellence and enabling transformation.

Dividends

The Board of Directors recommends a dividend for the year of Shs 581.5 million or 30 cents per share. The dividend will be paid to shareholders at close of business on 9 May 2017 subject to shareholders' approval at the annual general meeting.

The above condensed consolidated statement of profit or loss, condensed consolidated statement of other comprehensive income, condensed consolidated statement of financial position, condensed consolidated statement of cash flows and other disclosures are extracted from the 2016 consolidated financial statements which were audited by Deloitte & Touche and received an unqualified opinion. These consolidated financial statements were approved by the Board of Directors on 24 March 2017 and signed on its behalf by:

Amb. Dr.Francis K. Muthaura, MBS, EGH
Chairman

Dr. Benson I. Wairegi, EBS
Group Managing Director

Performance Charts

